

Number found. I counted 2,150 scallops in 505 stocks with the first hooked in August 1991 and the most recent in December 2018. Not all stocks covered the entire period and some stocks no longer trade.

Because patterns in bear markets with upward breakouts were few, I removed them from the tables. Most of the time, you'll find this pattern in bull markets with downward breakouts.

Reversal (R), continuation (C) occurrence. Downward breakouts acted as continuation patterns most often (price continued trending lower). Upward breakouts were reversals of the downward price trend.

Reversal/continuation performance. Upward breakouts show reversals outperforming and downward breakouts have continuations doing better.

Average rise or decline. The average rise or decline appears in the table. The best performance rank is ninth (which is quite good) and that's for upward breakouts in bull markets. Even though downward breakouts happen most often (performance rank: tenth, also good), price doesn't drop that far after a breakout on average.

Standard & Poor's 500 change. The general market move highlights its influence on individual stocks. In other words, if a rising tide lifts all boats, the 15% move in the index contributed to the 47% rise in bull markets.

Similarly, the 10% drop in the index helped price in bear markets take the stock lower. I can't prove those statements are true, but I have seen research that shows the influence of the market on stock behavior and I've also tracked my own. I do best when trading with the market trend instead of against it.